

Alibaba Group Holding BABA.N BABA US

EQUITY: INTERNET & NEW MEDIA

AI Cloud gains momentum

Cloud growth likely set to accelerate further through FY27F, while margin expansion continues

Cloud growth and margins continue to strengthen, while resilient e-commerce profits help fund sustained AI investment; maintain Buy

AI Cloud was the clear bright spot, with external Cloud revenue growth accelerating to 45% y-y and management guiding for sustained acceleration through the remainder of FY27. MaaS ARR had surpassed CNY16bn as of August and remains on track to exceed the targeted CNY30bn by the fiscal year-end. AI Cloud's adjusted EBITA margin reached 11.6%, vs. ~7% a year ago, and continues to track toward management's long-term target of ~20%. BABA also disclosed greater detail on its proprietary T-Head chip business for the first time. Previous generations of T-Head AI chips have shipped over 500,000 units cumulatively, while the latest domestically produced generation began supernode deployment on AliCloud in Aug and is entering large-scale commercialization. Management also indicated that a next-generation domestic AI chip is expected to begin tape-out in 2H26E, targeting both large-scale training and inference workloads. BABA's AI Labs and Applications (ALA) segment remains an earnings drag with a CNY13.9bn adjusted EBITA loss in the June quarter. However, management expects the June quarter to represent the peak loss for the current fiscal year, with losses moderating thereafter. Meanwhile, adjusted EBITA for Alibaba Ecommerce Group (AEG) remained broadly stable at CNY39.7bn. We believe BABA is increasingly positioning its more mature e-commerce businesses as stable profit and cash-flow generators, with greater emphasis on preserving profitability while the group continues to invest heavily in AI. June-quarter capex reached CNY67.7bn, or ~USD10bn, contributing to a CNY44.7bn FCF outflow. Management indicated that incremental AI infrastructure investment can typically achieve a payback period of less than three years, with further upside to capital efficiency from improving monetization, operating efficiency and greater adoption of proprietary chips. Overall, we believe BABA's mature e-commerce businesses provide a relatively stable earnings and cash-flow base, while AI Cloud is rapidly evolving from an investment-heavy growth business into an increasingly meaningful revenue and earnings contributor. **We maintain Buy with an unchanged SOTP-based TP of USD178 (Fig. 5), implying 22x CY27F (FY28F) P/E, vs. 16x currently.**

AI Cloud: Top-line acceleration along with margin expansion

External Cloud revenue growth accelerated to 45% y-y in the June quarter, marking the ninth consecutive quarter of acceleration. Management expects growth to exceed 50% y-y in the Sept quarter, followed by further acceleration in both the Dec and Mar quarters. MaaS ARR had already exceeded CNY16bn as of Aug and remains on track to exceed CNY30bn by fiscal year-end.

(Continued on page 4...)

Year-end 31 Mar	FY26		FY27F		FY28F		FY29F
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	1,023,670	1,125,101	1,121,394	1,308,005	1,308,269	1,566,078	1,566,342
Reported net profit (mn)	105,904	76,536	74,308	107,070	117,904	321,206	331,037
Normalised net profit (mn)	64,438	96,424	96,739	128,683	129,017	173,420	172,836
FD normalised EPS	26.80	40.31	40.44	54.06	54.20	73.22	72.97
FD norm. EPS growth (%)	-59.0	50.4	50.9	34.1	34.0	35.4	34.6
FD normalised P/E (x)	34.3	—	22.0	—	16.4	—	12.2
EV/EBITDA (x)	12.4	—	10.8	—	8.4	—	6.8
Price/book (x)	2.0	—	1.8	—	1.6	—	1.4
Dividend yield (%)	1.6	—	0.9	—	0.8	—	0.8
ROE (%)	10.1	6.9	6.7	9.0	9.9	24.6	25.1
Net debt/equity (%)	6.8	8.1	13.6	8.8	13.1	6.4	9.2

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	USD 178.00
Closing price 20 August 2026	USD 130.53
Implied upside	+36.4%
Market Cap (USD mn)	312,864.0
ADT (USD mn)	1,352.4

Relative performance chart



Source: LSEG, Nomura

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Key data on Alibaba Group Holding

Performance

(%)	1M	3M	12M		
Absolute (USD)	8.5	-2.9	9.2	M cap (USDmn)	312,864.0
Absolute (USD)	8.5	-2.9	9.2	Free float (%)	43.5
Rel to NASDAQ COMPOSITE	6.3	-2.2	-13.9	3-mth ADT (USDmn)	1,352.4

Income statement (CNYmn)

Year-end 31 Mar	FY25	FY26	FY27F	FY28F	FY29F
Revenue	996,347	1,023,670	1,121,394	1,308,269	1,566,342
Cost of goods sold	-598,285	-616,136	-670,470	-774,350	-917,703
Gross profit	398,062	407,534	450,925	533,919	648,639
SG&A	-243,742	-344,586	-364,915	-403,944	-469,874
Employee share expense	-13,415	-12,798	-11,518	-10,366	-9,330
Operating profit	140,905	50,150	74,492	119,608	169,436
EBITDA	176,501	92,296	117,242	163,046	213,642
Depreciation	-29,260	-37,067	-38,179	-39,324	-40,504
Amortisation	-6,336	-5,079	-4,571	-4,114	-3,703
EBIT	140,905	50,150	74,492	119,608	169,436
Net interest expense	11,163	77,719	24,717	24,203	23,663
Associates & JCEs					
Other income	16,035	6,566	7,576	8,181	8,848
Earnings before tax	168,103	134,435	106,785	151,993	201,947
Income tax	-35,445	-30,045	-31,168	-32,980	-42,858
Net profit after tax	132,658	104,390	75,616	119,012	159,089
Minorities	4,133	1,465	2,000	2,200	2,420
Other items	21,149	-41,417	19,123	7,805	11,327
Preferred dividends					
Normalised NPAT	157,940	64,438	96,739	129,017	172,836
Extraordinary items	-28,470	41,466	-22,431	-11,113	158,201
Reported NPAT	129,470	105,904	74,308	117,904	331,037
Dividends	-29,077	-33,732	-17,500	-16,003	-15,763
Transfer to reserves	100,393	72,172	56,808	101,901	315,274

Valuations and ratios

Reported P/E (x)	17.6	20.9	28.6	17.9	6.4
Normalised P/E (x)	14.4	34.3	22.0	16.4	12.2
FD normalised P/E (x)	14.4	34.3	22.0	16.4	12.2
Dividend yield (%)	1.3	1.6	0.9	0.8	0.8
Price/cashflow (x)	13.9	29.0	15.6	13.5	9.2
Price/book (x)	2.2	2.0	1.8	1.6	1.4
EV/EBITDA (x)	7.3	12.4	10.8	8.4	6.8
EV/EBIT (x)	9.2	22.7	16.9	11.5	8.6
Gross margin (%)	40.0	39.8	40.2	40.8	41.4
EBITDA margin (%)	17.7	9.0	10.5	12.5	13.6
EBIT margin (%)	14.1	4.9	6.6	9.1	10.8
Net margin (%)	13.0	10.3	6.6	9.0	21.1
Effective tax rate (%)	21.1	22.3	29.2	21.7	21.2
Dividend payout (%)	22.5	31.9	23.6	13.6	4.8
ROE (%)	12.8	10.1	6.7	9.9	25.1
ROA (pretax %)	8.9	2.9	4.0	6.0	7.9

Growth (%)

Revenue	5.9	2.7	9.5	16.7	19.7
EBITDA	9.2	-47.7	27.0	39.1	31.0
Normalised EPS	5.1	-59.0	50.9	34.0	34.6
Normalised FDEPS	5.1	-59.0	50.9	34.0	34.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Mar	FY25	FY26	FY27F	FY28F	FY29F
EBITDA	176,501	92,296	117,242	163,046	213,642
Change in working capital	-32,192	9,454	7,378	-16,054	17,804
Other operating cashflow	19,200	-25,537	11,844	9,313	-4,017
CF from operations	163,509	76,213	136,464	156,306	227,430
Capital expenditure	-85,972	-126,063	-195,544	-143,910	-172,298
Free cashflow	77,537	-49,850	-59,080	12,396	55,132
Reduction in investments	-114,267	-14,499	0	0	0
Net acquisitions					
Dec in other LT assets	32,671	-11,565	0	0	0
Inc in other LT liabilities	17,520	24,523	0	0	0
Adjustments	-40,849	62,011	0	0	0
CF after investing acts	-27,388	10,620	-59,080	12,396	55,132
Cash dividends	-29,077	-33,732	-17,500	-16,003	-15,763
Equity issue	-86,652	-6,596	-5,000	-5,000	-5,000
Debt issue	-7,110	5,770	60,000	0	0
Convertible debt issue					
Others	47,589	9,981	0	0	0
CF from financial acts	-75,250	-24,577	37,500	-21,003	-20,763
Net cashflow	-102,638	-13,957	-21,580	-8,607	34,369
Beginning cash	248,125	145,487	131,530	109,950	101,343
Ending cash	145,487	131,530	109,950	101,343	135,711
Ending net debt	49,382	72,605	154,185	162,792	128,424

Balance sheet (CNYmn)

As at 31 Mar	FY25	FY26	FY27F	FY28F	FY29F
Cash & equivalents	145,487	131,530	109,950	101,343	135,711
Marketable securities	272,607	197,348	197,348	197,348	197,348
Accounts receivable	0	0	0	0	0
Inventories					
Other current assets	255,955	281,891	288,221	331,037	329,859
Total current assets	674,049	610,769	595,519	629,728	662,918
LT investments	566,987	656,745	656,745	656,745	656,745
Fixed assets	203,348	282,699	440,064	544,649	676,443
Goodwill	255,501	247,378	247,378	247,378	247,378
Other intangible assets	20,911	16,983	12,412	8,298	4,595
Other LT assets	83,431	94,996	94,996	94,996	94,996
Total assets	1,804,227	1,909,570	2,047,114	2,181,794	2,343,076
Short-term debt	22,562	28,224	28,224	28,224	28,224
Accounts payable	332,537	359,893	377,888	396,782	416,621
Other current liabilities	80,247	88,281	83,994	91,862	88,649
Total current liabilities	435,346	476,398	490,106	516,868	533,495
Long-term debt	172,307	175,911	235,911	235,911	235,911
Convertible debt					
Other LT liabilities	106,468	130,991	130,991	130,991	130,991
Total liabilities	714,121	783,300	857,008	883,770	900,397
Minority interest	68,535	57,539	55,539	53,339	50,919
Preferred stock	0	0	0	0	0
Common stock	372,700	373,419	368,419	363,419	358,419
Retained earnings	616,401	674,650	761,718	878,333	1,030,648
Proposed dividends	29,077	33,732	17,500	16,003	15,763
Other equity and reserves	3,393	-13,070	-13,070	-13,070	-13,070
Total shareholders' equity	1,021,571	1,068,731	1,134,567	1,244,685	1,391,760
Total equity & liabilities	1,804,227	1,909,570	2,047,114	2,181,794	2,343,076

Liquidity (x)

Current ratio	1.55	1.28	1.22	1.22	1.24
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	0.28	0.79	1.32	1.00	0.60
Net debt/equity (%)	4.83	6.79	13.59	13.08	9.23

Per share

Reported EPS (CNY)	53.62	44.05	31.06	49.53	139.77
Norm EPS (CNY)	65.41	26.80	40.44	54.20	72.97
FD norm EPS (CNY)	65.41	26.80	40.44	54.20	72.97
BVPS (CNY)	434.92	460.46	496.27	552.73	627.45
DPS (CNY)	12.38	14.53	7.65	7.11	7.11

Activity (days)

Days receivable	0.0	0.0	0.0	0.0	0.0
Days inventory	0.0	0.0	0.0	0.0	0.0
Days payable	192.3	205.1	200.8	183.1	161.8
Cash cycle	-192.3	-205.1	-200.8	-183.1	-161.8

Source: Company data, Nomura estimates

Company profile

Alibaba operates China's largest ecommerce platform (Taobao and Tmall). Alibaba is also the largest cloud service provider in China. Aside from ecommerce and cloud businesses, the company also provides digital media services (e.g. Youku), digital map service (Amap), among others.

Valuation Methodology

We value Alibaba's China Ecommerce Group at USD87bn, based on 5x FY27F P/E; its AliCloud business at USD278bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

ESG

Alibaba's business is environment-friendly as it does not cause pollution or generate greenhouse gas directly. Its ecommerce business may indirectly lead to an increase in paper waste from packaging materials used for parcels. Alibaba maintains good corporate governance practices, including easy access for investors and proper disclosures.

(...Continued from page 1)

Importantly, management expects this accelerating growth to be accompanied by continued margin expansion rather than achieving the growth at the expense of profitability. AI Cloud's adjusted EBITA margin reached 11.6%, vs. approximately 7% a year ago. Management expects margins to continue improving over the coming quarters toward its long-term target of around 20%.

The key drivers include robust revenue growth, improving utilization and pricing, a greater contribution from higher-margin MaaS revenue and increasing adoption of proprietary T-Head chips.

T-Head chips: A potentially meaningful competitive advantage for AI Cloud

For the first time, BABA provided greater visibility into its proprietary T-Head chip business. T-Head's portfolio spans GPU, CPU, storage and networking chips, allowing BABA to optimize compute, storage and networking at the system level rather than relying entirely on third-party hardware.

Management stated that previous generations of T-Head AI chips had already shipped more than 500,000 units cumulatively, while its latest domestically produced generation began deployment on BABA's Cloud platform in August in supernode form and is entering large-scale commercialization.

Further, management indicated that its next-generation domestic AI chip is expected to begin tape-out in **2H26E**, targeting both large-scale model training and inference. BABA believes T-Head is one of the few domestic AI-chip designers capable of commercially supporting both large-scale training and inference workloads.

If advanced-GPU supply remains constrained, we believe BABA's proprietary chip capabilities could become an increasingly important competitive advantage. In particular, if T-Head is proven capable of supporting large-scale training of large-parameter foundation models at commercial scale, it could materially strengthen the competitiveness of both AliCloud and BABA's foundation-model business, in our view.

AI Labs and Applications: Losses likely to moderate; monetization remains at an early stage

BABA introduced AI Labs and Applications (ALA) as a new reporting segment this quarter, combining its Qwen foundation-model business with traditional and new AI applications. The segment recorded a CNY13.9bn adjusted EBITA loss in the June quarter as BABA continued to invest heavily in foundation models and the Qwen App.

Management indicated that the June quarter should represent the peak loss for the current fiscal year, with September-quarter losses narrowing to the low-teens CNYbn range and remaining broadly stable or improving thereafter.

Less than half of the segment loss relates to model training, with the remainder mainly associated with Qwen App inference, marketing and operating costs, according to management. Continued improvements in training efficiency should, therefore, allow BABA to continue enhancing model capabilities without losses necessarily increasing proportionately with model scale.

Monetization of BABA's Qwen foundation models remains at an early stage. We believe most current external monetization is through MaaS services provided by AliCloud. Over the longer term, management believes the business could develop more diversified monetization models beyond MaaS, potentially broadening the revenue opportunity for BABA's foundation models and AI applications.

AEG likely positioned as a cash-flow generator

Alibaba Ecommerce Group (AEG), which includes China e-commerce, China Quick Commerce (QC) and international e-commerce, reported broadly stable adjusted EBITA of CNY39.7bn. China e-commerce CMR declined 7% y-y, or increased 1% y-y on a like-for-like basis, broadly in line with market expectations.

On the outlook, management indicated that China e-commerce had improved slightly quarter-to-date in the September quarter vs. the June quarter. QC also continues to improve unit economics, with management expecting September-quarter losses to be stable or lower q-q and full-year losses to narrow by approximately 50% y-y. Management continues to target profitability for QC in FY29E, unchanged from its previous guidance.

Taken together, we believe BABA is increasingly emphasizing profit stability and cash generation across its more mature e-commerce businesses rather than pursuing growth at the

expense of profitability. In our view, this provides a more stable earnings and cash-flow base to support the group's continued investment in AI.

High AI capex supported by sub-three-year payback

The biggest financial concern remains AI capex and free cash flow. June-quarter capex reached CNY67.7bn, versus CNY26.9bn in the preceding quarter, or approximately USD10bn, along with a CNY44.7bn FCF outflow.

Management explicitly cautioned against annualizing the June-quarter capex level, noting that quarterly spending can fluctuate depending on hardware procurement and delivery schedules.

At the same time, management presented a constructive return profile for its heavy AI investment. Incremental AI infrastructure investments can typically achieve a payback period of less than three years, while improving AI product margins, greater use of proprietary T-Head chips, customer prepayments and alternative compute arrangements could further enhance capital efficiency.

BABA, therefore, appears willing to tolerate near-term negative FCF to capture the AI growth opportunity, supported by what management views as attractive returns on incremental AI infrastructure investment.

Fig. 1: Alibaba – 1QFY27F results review

1QFY27 results review									
CNYmn	1QFY27	4QFY26	1QFY26	YoY	QoQ	Cons.	vs Cons.	NMR E	vs NMR E
Revenues	268,953	243,380	247,652	9%	10.5%	268,517	0%	270,430	-1%
Gross profit	102,857	83,988	111,223	-8%	22%	109,864	-6%	113,340	-9%
Gross margin	38.2%	34.5%	44.9%	-6.7ppt	3.7ppt	40.9%	-2.7ppt	41.9%	-3.7ppt
Non-GAAP op profit	18,465	2,244	38,533	-52%	723%	na	na	24,864	-26%
Non-GAAP op margin	6.9%	0.9%	15.6%	-8.7ppt	5.9ppt	na	na	9.2%	-2.3ppt
Adjusted EBITA	27,329	5,102	38,844	-30%	436%	26,591	3%	26,007	5%
Adjusted EBITA margin	10.2%	2.1%	15.7%	-5.5ppt	8.1ppt	10%	0.3ppt	9.6%	0.5ppt
Non-GAAP net profit	20,583	1,506	35,291	-42%	1267%	25,348	-19%	23,985	-14%
Non-GAAP net margin	7.7%	0.6%	14.3%	-6.6ppt	7.0ppt	9.4%	-1.8ppt	8.9%	-1.2ppt
Non-GAAP EPADS (CNY)	8.52	0.62	14.75	-42%	1266%	11.28	-24%	10.01	-15%

Note: FY year ending 31 March.

Source: Company data, Bloomberg Finance L.P. consensus estimates, Nomura estimates

Fig. 2: Alibaba – performance by business segment

Business segments performance			
(CNYbn)	1QFY27	1QFY26	YoY
Quarter-end	Jun-26	Jun-25	
Alibaba E-commerce Group:			
Revenue	206	198.8	4%
Adjusted EBITA	39.7	40.0	-1%
Adjusted EBITA margin	19.3%	20.1%	-0.8ppt
AI Cloud and Compute Services			
Revenue	48.4	33.4	45%
Adjusted EBITA	5.6	2.4	133%
Adjusted EBITA margin	11.6%	7.2%	4.4ppt
AI Labs and Applications			
Revenue	3.3	2.9	16%
Adjusted EBITA	(13.9)	(3.2)	na
Adjusted EBITA margin	-415.2%	-111.9%	-303.4ppt
All others			
Revenue	28.8	28.6	1%
Adjusted EBITA	(3.3)	0.7	na
Adjusted EBITA margin	-11.6%	2.4%	-14.0ppt
Consolidated			
Revenue	269.0	247.7	9%
Adjusted EBITA	27.3	38.8	-30%
Adjusted EBITA margin	10.2%	15.7%	-5.5ppt

Source: Company data, Nomura research

Fig. 3: Alibaba – the breakdown of E-commerce Group

The breakdown of Alibaba E-commerce Group (AEG)			
(CNYbn)	1QFY27	1QFY26	YoY
Quarter-end	Jun-26	Jun-25	
China E-commerce	110.9	120.9	-8%
Customer management	82.5	89.2	-7%
Direct sales, logistics and others	28.4	31.7	-10%
China Quick Commerce	53.3	36.7	45%
International E-commerce	27.8	28.2	-1%
Global Wholesale	13.9	13.0	7%
Total revenue of AEG	205.9	198.8	3.5%

Source: Company data, Nomura research

Fig. 4: Alibaba: Revisions to our earnings estimates

Nomura new estimates vs old		FY27F			FY28F		
(CNYmn)		New	Old	Diff	New	Old	Diff
Revenue		1,121,394	1,125,101	0%	1,308,269	1,308,005	0%
Gross profit		450,925	452,415	0%	533,919	533,811	0%
Gross margin		40.2%	40.2%	0.0ppt	40.8%	40.8%	0.0ppt
Adjusted EBITA		100,981	100,647	0%	136,631	136,603	0%
Adjusted EBITA margin		9.0%	8.9%	0.1ppt	10.4%	10.4%	0.0ppt

Note: FY year ending 31 Mar

Source: Company data, Nomura estimates

Fig. 5: Alibaba: SOTP valuation

	Valuation (USDbn)	Stake	Attributable valuation (USDbn)	Value per share (USD)	As % of target price	Note
<i>Core Assets</i>						
China Ecommerce Group (CEG)	87	100%	87	36	20%	5x FY27F (CY26) P/E
Alibaba Cloud	278	100%	278	116	65%	7x FY28F (CY27) external cloud revenue
<i>Non-core Assets</i>						
AIDG	11	100%	11			0.5x FY27F (CY26) P/S
Ant Group	79	33%	26			In line with the valuation in last share repurchase by Ant group in July 2023
All other non-core assets	30	100%	30			Nomura assumption
Discount for investee and non-core assets (non-core assets)			40%			
Net valuation of non-core assets			40	17	9%	
Total EV			405	169	95%	
Net cash			21	9	5%	30% discount applied to net cash balance as of most recent reporting period
Target market cap			427		100%	
Target price				USD 178		

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Alibaba Group Holding	BABA US	USD 130.53	20-Aug-2026	Buy	N/A	A10

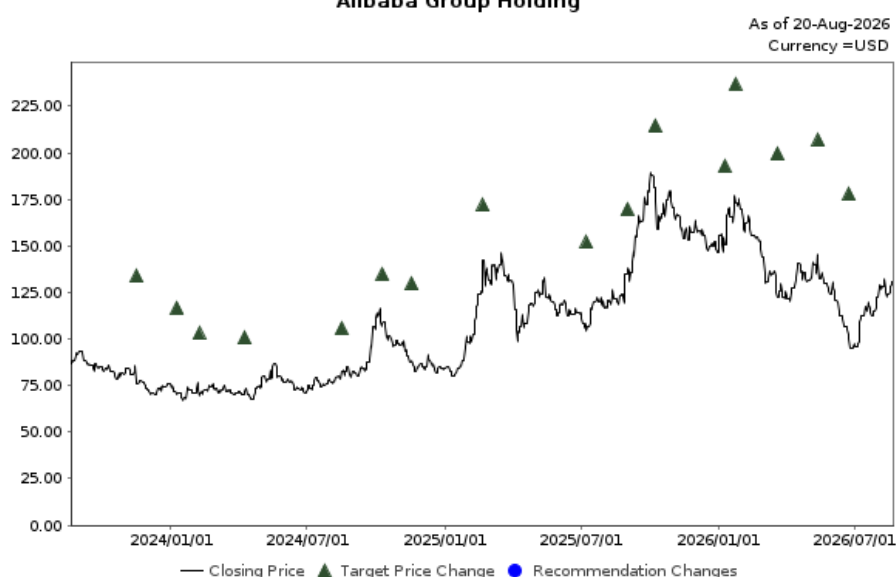
A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

Alibaba Group Holding (BABA US)

USD 130.53 (20-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alibaba Group Holding



Date	Rating	Target price	Closing price
24-Jun-26		178.00	99.80
14-May-26		207.00	141.12
20-Mar-26		200.00	122.41
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD87bn, based on 5x FY27F P/E; its AliCloud business at USD278bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

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As at 30 June 2026.

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